

SECTION 'B' (Short-Answer Questions)(30)

NOTE: Attempt any THREE part questions. All questions carries equal marks..

2. SINGLE ENTRY:

On March 1, 2021, Mr. Muneeb started a business with an investment of Rs. 100,000 and decided to keep his business accounting records under single entry system. On June 30, 2021, the following information was available from his records:

Cash in hand	Rs. 39,000
Cash at Bank	24,000
Accounts Receivable	7,000
Merchandise	20,000
Furniture	46,000
Accounts Payable	12,000
Bank Loan	10,000

ADDITIONAL INFORMATION AS ON JUNE 30, 2021.

- During the period he withdrew cash Rs. 6000 for his personal use.
- Additional investment of Rs. 20,000 was also made.
- Depreciation was charged on Furniture @ 12%
- Bad Debts were estimated Rs. 500
- Rent was prepaid Rs. 6,000
- Accrued Commission Income Rs. 7,000.

REQUIRED:

Prepare statement of Profit & Loss for the period ended on June 30, 2021

3. PARTNERSHIP DISTRIBUTION OF PROFIT & LOSS:

Qaiser and Abbas formed a partnership on January 1, 2020 with capitals of Rs. 150,000 and Rs. 180,000 respectively, agreed to share profit/loss as follows:

- Each partner will receive interest on beginning capital @10%
- Qaiser will be paid salary of Rs. 60,000 annually.
- A commission of Rs. 4,000 will be paid to Abbas.
- The remaining if any, shall be divided equally.

REQUIRED: Prepare an Income distribution summary assuming that the firm earned Net Income of Rs. 120,000 closes its books on December 31, each year.

4. NON-PROFIT CONCERNS:

The following is the receipts and payments account of Insanat Welfare Society for the year ended on December.

Receipts	Rs	Payments	Rs
Opening Balance	10,000	Utilities Expenses	9,000
Rent Revenue	50,000	Free Supply of ration	20,000
Donations	40,000	General Expenses	12,000
Other Revenues	10,000	Salary Expenses	18,000
		Furniture	10,000

ADDITIONAL INFORMATION

- Prepaid Salaries Rs. 3,000
- Unearned Rent Rs. 5,000
- Utilities Payable Rs. 4,000
- Depreciation on furniture Rs. 1,000

REQUIRED: Prepare an Income and Expenditure account for the year ended on December 31, 2020.

5. PARTNERSHIP - ADMISSION:

Akber and Asghar are partners having capital balances of Rs. 60,000 and 40,000 respectively, sharing profit equally. They decided to admit Talib as a new partner.

REQUIRED: Give entries in the general journal to record the admission of new partners under each of the following assumptions separately.

ASSUMPTIONS-1: Talib invests cash Rs. 50,000 for 1/3 interest in the firm (Record Bonus)

ASSUMPTIONS-2: Talib invests cash Rs. 20,500 for 1/5 interest in the firm (The old partners do not agree to reduce capitals).

6. Sunlight Company Ltd completed the following transactions during the year. The par value of each share is Rs. 10 and debenture Rs. 100 each.

- The Company offered to the public 60,000 shares of Rs. 10 each at Rs. 12 per share. Applications were received for 60,000 shares. The Company Directors finalized the allotment of shares.
- Purchased machine for Rs. 84,000 and in consideration the company issued necessary number of shares at a market value of Rs. 92/- each.
- In consideration of the services of the promoters, the company issued 6000 shares of Rs. 10/- Each share has a market value of Rs. 12.50/-
- Received Rs. 185,000 against issuance of 2000, 12% debentures of Rs. 100 each redeemable after 5 years at Rs 110 each.

REQUIRED: Record the above transactions in General Journal.

SECTION 'C' (Detailed Answer Questions)(20)

NOTE: Attempt any ONE part questions. All questions carries equal marks.

7a. Green private Ltd purchased a machine on May 1, 2019 at a cost of Rs. 425,000 with estimated life of 10 years and scrap value Rs.125,000 the machine had a working life of 25,000 hours and 75,000 units. The company's accounting year ends on December 31. During the year 2019,

the machine worked for 2000 hours and produced 6000 units and during the year 2020 it worked for 4000 hours and produced 14000 units.

REQUIRED:

- Compute depreciation expense on Dec 31, 2019 and 2020 under the following methods.
 - Straight line method
 - Working Hours method
 - Units Output method
 - Diminishing Balance method @ 20%
- Give Adjusting Entry for 2019 under Straight line method, closing entry for 2020 under working hours method.

7b. PARTNERSHIP LIQUIDATION:

ABC brothers decided to liquidate their business on December 31, 2020, following is the balance sheet on the date of liquidation:

Assets		Equities	
Cash	50,000	Accounts Payable	40,000
Other Assets	150,000	Capital A	64,000
		Capital B	64,000
		Capital C	32,000
	200,000		200,000

The investment and sharing ratio among the partners is 2:2:1. All assets, other than cash were sold for cash Rs. 130,000 and accounts payable were paid in full.

Required: Record the whole liquidation process in General Journal, showing all computations. (Ledger Accounts are not required)

نوٹ: سال 2020 میں گیارہویں اور بارہویں جماعت کے امتحانات نہیں ہوئے تھے۔

ACCOUNTING 2021

(AS PER CONDENSED SYLLABUS)

TIME: 2 Hours

(100 Marks)

NOTE: i). This section consists of 25 part questions and all are to be answered. Each question carries ONE marks.

ii) Do not copy the part questions in your answer book. Write only the answer in full against the proper number of the question and its part.

SECTION 'A' (Multiple Choice Questions)(50)

1. Choose the correct answer for each from the given options:

(i) The company declares dividends out of:

- * Capital
- * Expenses
- * Cash
- * Retained Earnings✓

(ii) Gain or Loss on realization is transferred to:

- * creditors account
- * partner's capital account✓
- * asset account
- * debtors account

(iii) Total Cost – Accumulated Depreciation is equal to:

- * Book value✓
- * Actual cost
- * Depreciation expense
- * Salvage value

(iv) In case of Non-profit concerns, remaining cash is to be distributed among the partners:

- * Surplus
- * Accumulated fund✓
- * Investment
- * Deficit

(v) At the time of liquidation, remaining cash is to be distributed among the partners:

- * On beginning capital ratio
- * On ending capital ratio
- * As per capital balances at the end✓
- * Equally

(vi) The price of the share, which is quoted on stock exchange is called:

- * Market value✓
- * Book value
- * Face value
- * Par value

(vii) In case of insolvency of a partners, his/her capital deficiency is borne by:

- * creditors
- * debtors
- * himself/herself
- * other solvent partners✓

(viii) Subscriptions received in advance is a/an:

- * Income
- * Expense
- * Asset
- * Liability✓

(ix) The Depreciation is not charged on:

- * Building
- * Furniture
- * Office Equipment
- * Land✓

(x) The expenses incurred in the formation of a company are:

- * Indirect expenses
- * General expenses
- * Selling expenses
- * Preliminary expenses✓

(xi) If Shares are offered at more than their par value, the excess amount is called:

* Net operating Income

* Premium✓

* Discount

* Interest

(xii) Salvage value is not considered when depreciation is calculated under:

- * Working hour method
- * Fixed installment method
- * Unit Production method
- * Diminishing balance method✓

(xiii) The account, through which a non-profit organization ascertain its surplus or deficit is called:

- * Balance sheet
- * Receipts and payments account
- * Income and expenditure account✓
- * Profit and loss account

(xiv) In case of liquidation of a firm, the assets of the firm are:

- * Purchased
- * Sold✓
- * Distributed
- * Donated

(xv) This account is maintained under fixed capital approach in profit & loss distribution:

- * Realization account
- * Revaluation account
- * Current Account✓
- * Income and expenditure account

(xvi) In single entry system the statement of affairs is similar to:

- * Trial balance
- * Balance sheet✓
- * Cash book
- * Income statement

(xvii) Capital expenditure are recorded as a/an:

- * Asset✓
- * Liability
- * Capital
- * Expense

(xviii) In case of admission of a partner, if the old partners are not ready to reduced their capitals it means:

- * Bonus to new partners
- * Bonus to old partner
- * Good will to new partner
- * Good will to old partner✓

(xix) When two or more individual engage in an enterprise as co-owners the organization is known as:

- * Sole proprietorship
- * Trust
- * Partnership✓
- * Joint Stock Company

(xx) Debenture holders are the:

- * Creditors of the company✓
- * Owners of the company
- * Customers of the company
- * Employees of the company

(xxi) The nature of insurance in transit is a :

- * Revenue expenditure
- * Selling expenditure
- * Capital expenditure✓
- * Operating expenditure

(xxii) The excess of receipts over expenditure in a non-profit concern is:

- * Deficit
- * Surplus✓
- * Gross profit
- * Retained Earnings

(xxiii) In case of retirement of a partner, under sale of interest method, the total capital of the partnership firm will:

- * Increase
- * Decrease
- * Remains constant✓
- * None of these

(xxiv) Discion availed, during concession period is known as:

- * Trade discount
- * Sales discount

* Cash discount✓

* Quality discount

(xxv) The receipts and payments account is a summary of:

* Cash book✓

* Balance sheet

* Trial balance

* Profit and loss account

SECTION 'B' (SHORT ANSWER QUESTIONS)

NOTE: Attempt any Four questions. (50)

SINGLE ENTRY:

Mr. Khan maintains single entry records on single entry basis. His capital balance as on Jan. 1, 2018 is Rs.1,80,000. The financial position as on Dec.31, 2018 is as under:

Cash	75,000
Account Receivable	70,000
Merchandise Inventory	80,000
Furniture	30,000
Office Equipment	20,000
Account Payable	25,000

Data for Adjustment on Dec. 31, 2018 was as under:

- Mr. Saleem made additional investment of Rs.40,000.
- He had withdrawn Rs.20,000, and Rs.25,000 for personal and business use respectively.
- Depreciation on furniture and office equipment for the year of Rs.5,000 and Rs.4,000 respectively.

(iv) Outstanding salaries at the year ended of Rs.10,000.

REQUIRED: Prepare statement of profit and loss for the year ended on Dec. 31, 2018.

3. PARTNERSHIP ADMISSION:

Mr. Ali and Mr. Hassan are partners, their profit and loss ratio are equal. The name of the organization is "A.H. Organization". On March, 12, 2018 balance sheet of the firm:

**A.H. Organization,
Balance Sheet.**

ASSETS		EQUITIES	
Cash	10,000	A/c. Payable	30,000
A/c. Receivable	10,000	Notes Payable	10,000
Merchandise Inv.	15,000	Owner's equity	
Land	25,000	All Capital	25,000
Machinery	100,000	Hassan Capital	35,000
Less: Allow. For dep.	(60,000)		
Total Assets	100,000	Total Equities	100,000

Both partners agreed that Mr. Arif be admitted as the new partner in the business, under the following:
Case I: Mr. Arif invests sufficient cash for 1/3 interest of the firm.

Case II: Mr. Arif invest Rs.30,000 for a 1/4 interest in a total capital of Rs.1,00,000.

REQUIRED: Make entries in General Journal to admission of new partner for the above case separately.

4. PARTNERSHIP RETIREMENT:

Mr. Tahir, Ali and Habib were partners, their profit and loss ratio are equal. The balance sheet of the firm on Dec. 31, 2018 is as under:

ASSETS		EQUITIES	
Cash	75,000	A/c. Payable	40,000
A/c. Receivable	25,000		
Less: Allowance For bad debts	(5,000)	Owner's equity	
Merchandise Inv.	25,000	Tahir Capital	50,000
Prepaid Rent	6,000	Ali Capital	50,000
Building	70,000	Habib Capital	50,000
Less: Allow. For dep.	(6,000)		
Total Assets	190,000	Total Equities	190,000

Mr. Ali decided retired from the partnership on the above date. The firm paid to Mr. Ali is:

Cash I: Cash paid Rs.60,000. (Record Goodwill Method)

Cash II: Cash paid Rs.40,000. (Record Bonus Method)

REQUIRED: Record the above events in General Journal.

5. RETAINED EARNING:

The following information is related to ABC Company Limited on Dec.31, 2018.

Authorized Capital is 200,000 shares @ Rs.10 each.
Issued & paid up Capital 100,000 shares @ Rs.10 each.

31.12.2018 Reserve for contingences	20,000	1.1.2018 Balance	200,000
Res. For plant extention	80,000	31.12.2018 Income	
Cash dividend	60,000	Summary	100,000
Stock dividend	100,000		

REQUIRED:

Record the above mentioned transactions in G. Journal.

6. PARTNERSHIP LIQUIDATION:

Following is the balance sheet of Siddiqui Brothers on Dec. 31, 2018.

**SIDDIQUI BROTHERS,
BALANCE SHEET,**

As on Dec. 31, 2018.

ASSETS		EQUITIES	
Cash	10,000	A/c. Payable	60,000
Other Assets	650,000	Arif Capital	100,000
		Basit Capital	200,000
		Qasim Capital	200,000
Total Assets	660,000	Total Equities	660,000

All the partners decided to liquidate their business by selling other assets at Rs.1,00,000 & paid A/c payable Partner Arif is personally insolvent & unable to meet his deficiency.

REQUIRED:

Record the above liquidation process in General Journal.

7. DIVISION OF NET INCOME:

A, B and C are partners with capital balance of Rs.80,000; Rs.60,000 and Rs.40,000 respectively. Capitals are fixed and partners use the current account. The partnership deed provides:

- 7% interest on partner capital balance.
- A and B will receive a monthly salary of Rs.2,500 and Rs.3,300 respectively.
- Mr. C will receive annual commission Rs.10,000.
- Remaining profit and loss is to be distributed among the partners (Capital at start ratio)

During the year, partners drawings were as under:

A: Rs.20,000; B: Rs.12,000; C: Rs.15,000.

Net Income for the year ended was Rs.125,000.

REQUIRED: (a) Income distribution summary.

(b) General Journal entry to record the partner drawing and distribution of Income.

8. ISSUING OF SHARES & DEBENTURES:

The following transactions completed during March 2018 by Imran Corporation.

- Purchased Building for Rs.4,50,000 and its consideration issued shares of Rs.10 each. The market price of each share was Rs.15.
- Purchased Furniture and issued 10000 shares of Rs.10 each. (The selling price of share was Rs.14 each.
- The Corporation allotted 10000 shares of Rs.10 each to the promoters of the company for their consideration of services rendered.
- Issued 1000 debentures of Rs.100 each redeemable after 5 years at Rs.110 each.
- Issued 500 debentures of Rs.100 each at Rs.95 each.

REQUIRED: Record the above transaction in G. Journal.

SECTION 'C' (DETAILED-ANSWER QUESTIONS)(30)

Note: Attempt any Two parts questions..

1. DEPRECIATION:

Ebad Company purchased machine with a list price Rs.2,00,000 and a subject of trade discount 5% and cash discount 3% on April 1, 2018. The company trade the payment on April 10, 2018 with discount period. Besides that following payments were made in this regard:

- Insurance in transit Rs.10,700.
- Fire Insurance was paid Rs.4,000.
- Freight in was paid Rs.5,000.
- Installation charges Rs.7,000.

Company estimated the salvage value Rs.10,000 and life of the machine will be 5 years.

REQUIRED: (a) Compute cost of machine on April 1, 2018.

(b) Compute depreciation expenses on Dec. 31, by Straight Line Method and Diminishing balance method (use 25%) for the years 2018, 2017 and 2018. (c) Pass adjusting entry for 2017 and closing entry by using both methods. (d) Machine allowance for depreciation a/c by diminishing balance method for the year ended Dec. 31, 2018.

ACCOUNTING 2019

Time: 20 Minutes (Regular & Private) Max. Marks: 20

SECTION "A" (MULTIPLE CHOICE QUESTIONS)

1. Choose the correct answer for each from the given options:

- (i) In single entry system, balance sheet is referred as:
• statement of financial position • retained earnings
• Profit & loss account • Statement of affairs
- (ii) This is revenue expenditure: • Fire Insurance
• Insurance in transit • Import duty • Installation
- (iii) The expected realizable value of a fixed asset, at the end of its life, is called:
• book value • fixed value • salvage value • cost
- (iv) This is subject to depreciation:
• Land • Goodwill • Coal mine • Machinery
- (v) Salvage value is not deducted from cost while computing depreciation under:
• Machine hour method • Units of production method
• Diminishing balance method
• Sum of the year digit method.
- (vi) Old partners do not reduce their capital under:
• Goodwill method • Revaluation method
• Bonus method • Direct purchase method
- (vii) If nothing is stated in partnership agreement, the loss of insolvent partner is borne by the: • Same partner
• Remaining partner • Third party • Insurance Co.
- (viii) If one of the partners, whose capital in Rs.40,000 with a 1/3 share, is paid Rs.55,000 at the time of retirement, the goodwill of the firm will be:
• Rs.45,000 • Rs.75,000 • Rs.65,000 • Rs.85,000
- (ix) The summary of events or transactions, at the time of dissolution of partnership firm, is called:
• Income distribution summary • Liquidation summary
• Expense & Revenue summary • Income summary
- (x) Account, which is operated at the time of dissolution of partnership firm, is: • Revaluation
• Reaffirmation • Realization • Income summary
- (xi) This account appears in the income & expenditure a/c:
• Accrued subscription • Subscription income
• Subscription received in advance
• Subscription payable
- (xii) This one of the following accounts is debited when capital expenditure are made:
• Fixed asset • Expense • Current assets • Liability
- (xiii) Excess amount, paid to debenture holders at the time of its maturity is:
• Ordinary premium • Premium on redemption
• Premium on discount • Extraordinary premium
- (xiv) This item is to be added to unadjusted profit in profit and loss statement in single entry:
• Accrued income • Accrued expense
• Unearned income • Depreciation Expense
- (xv) In non-profit organization, Accumulated fund means:
• General fund • Petty cash fund
• Capital fund • Investment fund
- (xvi) Realization account is used to close this account:
• Asset • Revenue • Expense • Drawing
- (xvii) Declared cash dividend is Company's: • Asset
• Current liability • Revenue • Long term liability
- (xviii) Ordinary's shares are the Company's:
• Asset • Liability • Capital • Expense
- (xix) Depreciation is such an expense:
• Cash • Accrued • non-cash • Payable
- (xx) Purchase of fixed assets & expansion of fixed assets is:
• Revenue expenditure • Capital
• Capital expenditure • Expense

- (iii) Issued 400, 20% Debenture of Rs.100 at Rs.98. Redeemable after 10 years at Rs.110.
- (iv) Offered to the public 5000 Shares of Rs.10 each at Rs.13 each, Company's Bank received 6000 applications. The company allotted necessary number of shares and excess was refunded.

7. NON-PROFIT ORGANIZATION:

On December 31, 2016 the Peshawar Zalmi provided the following receipts and payments during the year:

<u>RECEIPTS</u>		<u>PAYMENTS</u>	
Subscription	10,000	Purch. of refreshment	900
Sale of Refreshment	1,600	Extension to Building	5,000
Sale of Match tickets	2,000	Salaries	4,000
		Purchase of Sports Equipment	7,000
		Interest on Loan	300

Futher Information:

- (i) Building has a value of Rs.50,000 and to be depreciated @ 10% per annum
- (ii) There was no beginning inventory of sports equipment. At the end of the year, it was valued at Rs.5000 (Hint: Depreciate Sports Equipment by Rs.2000).
- (iii) No Stock of Refreshment (Snacks) at the end of the year

REQUIRED: Prepare an Income & Expenditure account for the year ended December 31, 2016.

8. PARTNERSHIP – DIVISION OF PROFIT AND LOSS:

The Capital accounts of Aslam and Akram, Partners In a firm, appear as under:

ASLAM CAPITAL

2016		2016	
Mar. 31	cash 6,000	Jan. 2	b/d 24,000
		Jun. 8	cash 12,000

AKRAM CAPITAL

2016	
Jan. 2	b/d 15,000
Feb. 2	cash 3,000
Oct. 2	cash 18,000

Net Income for the year ended Dec. 31, 2016 Rs.17,875.

REQUIRED: Give Journal Entries to record the distribution of Net Income between the partners under following situations separately:

- (a) Profit to be divided in beginning capital ratio.
- (b) Profit to be divided in ending capital ratio.

ACCOUNTING 2017

Time: 2:40 Hours (Regular & Private) Marks: 80

SECTION 'B' (SHORT ANSWER QUESTIONS)

NOTE: Attempt any Four questions. (50)

2. SINGLE ENTRY:

Mr. Khan maintains single entry records. The assets and liabilities of the business are as follows:

	01-01-2016	31-12-2016
Cash	18,000	15,000
Account Receivable	20,000	30,000
Machinery	Nil	25,000
Account Payable	30,000	40,000
Bank Overdraft	Nil	15,000

Other information on 31-12-2016

- (i) He made additional investment of Rs.5,000 during year.
- (ii) Estimated allowance for bad debts Rs.1,250

- (iii) Depreciation on fix assets estimated at 10%
- (iv) Accrued interest on bank Overdraft Rs.300.

REQUIRED: (a) Compute the capital at start and end.

(b) Prepare statement of profit or loss for the year.

3. APPROPRIATION OF RETAINED EARNINGS:

M/s Zafar Ltd. has a paid up capital of Rs.500,000 divided into ordinary shares of Rs.10 each, for the year ended Dec.31, 2016. Company earned a net profit of Rs.250,000.

The Board of Directors approved the following:

- (i) To declare a cash dividend of Rs.2 per share (Hint: Number of outstanding shares 50,000).
- (ii) To appropriate Rs.30,000 for Building expansion.
- (iii) To appropriate Rs.10,000 for General Reserve.

REQUIRED:

- (i) To record all possible entries in General Journal
- (ii) Setup 'Retained Earnings' Account.

4. PARTNERSHIP – FORMATION:

Ghani, Asif and Imran formed a partnership on March 31, 2017. Ghani contributed cash Rs.700,000 Asif invested building which he purchased a few years ago for Rs.100,000. The current market value of the Building was Rs.700,000 but partners agreed to a value of Rs.600,000. Imran brought a Delivery Truck, value agreed by partners Rs.500,000. It was decided that each partner would have equal capital. So Asif and Imran would bring additional cash to have capital equal to that of Ghani.

REQUIRED: Give necessary entries in General Journal to record the above in the newly formed Partnership Firm.

5. PARTNERSHIP – RETIREMENT:

Nasim, Karim and Rahim are partners, having capital balances of Rs.180,000, Rs.270,000 & Rs.225,000 respectively. They share profit & loss in the ratio of 3:5:4. On March 31, 2017, Nasim retires from the firm. His settlement at Rs. 2,13,750. He is given a note of Rs.150,000 and balance in Cash.

REQUIRED: Record the Retirement of Nasim using Goodwill method.

6. ISSUANCE OF SHARES & DEBENTURE:

REQUIRED: Give entries in General Journal for the following transactions:

- (i) Issued 500 shares of Rs.10 each at Rs.12 each.
- (ii) Purchased Equipment costing Rs.300,000 and issued sufficient numbers of ordinary shares having market value of Rs.15 per share.

ACCOUNTING

Time: 20 Minutes (Regular & Private) Max. Marks: 20

SECTION "A" (MULTIPLE CHOICE QUESTIONS)

1. Choose the correct answer for each from the given options:

- (i) If the opening capital is Rs.4125, ending capital is Rs. 2830 & drawing is Rs.825, then net income/loss will be:
• Rs.470 • Rs.570 • Rs.670 • Rs.7700
- (ii) In the Balance Sheet of a limited company, the Retained Earnings account is shown under the heading of:
• current assets • current liability
• non current assets • stockholder equity
- (iii) This is the only tangible fixed asset, which is not changed to expense:
• Building • Machinery • Land • Furniture
- (iv) Gain or Loss on revaluation of assets before admitting a new partner is:
• transferred to old partner's capital accounts
• transferred to new partner's capital account
• closed to expense & revenue summary
• transferred to all partners' accounts
- (v) This does not appear in Income statement: • Sales
• Commission Income • Rent Expense • Copyright
- (vi) When retiring partner receives higher amount against his actual capital, then his retirement is at:
• Goodwill • Bonus • Revaluation • Realization
- (vii) Receipts and payments accounts are a summary of the:
• Cash book • Purchase journal
• Sales journal • General journal
- (viii) Disposal of Net Income of a Joint Stock Company is the utilization of:
• Retained Earnings • Net Income • Net Loss • Cash
- (ix) Realization account is temporarily used in place of:
• Expenses Account • Revenue Account
• Capital Account • Liabilities Account
- (x) The process of Allocation of cost of tangible assets is called:
• Depreciation • Depreciation • Revaluation
• Depletion • Amortization
- (xi) When the Net Income is transferred to Retained Earnings account, this account is debited to:
• Retained Earnings • Sinking fund
• Expense & Revenue summary • General Reserve
- (xii) Bonus share is paid to/by:
• Stock • Cash • Property • Interest
- (xiii) At the time of admission, old partner's capital will remain the same in:
• Bonus to old partners • Bonus to new partner
• Goodwill to new partner • Goodwill to old partner
- (xiv) The profit or loss resulting from the realization account is transferred to: • Assets • Partners' Capital a/c.
• Realization account • Bank account
- (xv) Net income of the company at end of the year must be transferred to:
• Shareholders account • Retained earnings a/c
• Debenture account • Capital Account
- (xvi) If the partner is solvent, his deficiency is met by:
• Himself • Remaining partner • All partners • the Firm
- (xvii) Depreciable cost value of an asset under straight line method is:
• Cost + Scrap value • Cost + Market value
• Cost - Scrap value • Cost - Market value
- (xviii) Fixed Assets are normally shown in Balance sheet at:
• Book value • Market value
• Historical cost • Scrap value
- (xix) Subscription received in advance will be shown in:
• Cash Book • Trial Balance
• Income Expenditure A/c • Balance Sheet
- (xx) In liquidation, when a partner's share of loss is higher than his capital balance, this is known as:
• Solvency • Deficiency • Loss • Gain